Valero Energy (VLO): Hold — Valuation Concerns

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The world's best refiner, priced like a utility. At $457.24, Valero trades 28% above our $327.61 base-case DCF. A 9.03% WACC that reflects refining cyclicality changes the math.

Hold — Valuation Concerns	$327.61	$457.24	-28%
RATING	BASE TARGET (BLENDED $332.56)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$207.88 / $467.13	9.03%	$3.7B	$7.9B	3.0M	0.56
BEAR / BULL TARGETS	LIVE WACC	Q2 NET INCOME	CASH BALANCE	BPD THROUGHPUT	EQUITY BETA

Executive summary

We update our Valero Energy model with a **Hold — Valuation Concerns** rating and a $327.61 base-case target (blended $332.56). Valero is the world's largest independent refiner, processing 3.0 million barrels per day through the most complex asset base in the industry, while building North America's largest renewable diesel franchise through Diamond Green Diesel. Q2 2026 net income of $3.7B ($12.62/share) shows the earnings power at peak crack spreads.

Our five-year DCF (-2% / -0.3% / +2% revenue CAGRs, FCF margins of 4.5% / 6.6% / 8%) yields Bear $207.88, Base $327.61, Bull $467.13 at a 9.03% live WACC. Spot at $457.24 sits 28% above base. The prior 7.0% WACC, derived mechanically from a 0.56 beta, valued this cyclical refiner like a regulated utility. A 2% refining sector risk premium corrects that.

> **Our read:** this is a fairly valued compounder, not a bargain. The market implies roughly 1.8% revenue growth, between our base and bull cases, which is reasonable given the structural capacity shortage. The $7.9B cash fortress and 59% payout ratio provide downside protection, but the refining super-cycle is fully priced. Patience for a better entry.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	-2%	-0.3%	+2%
2030 revenue ($B)	119.6	130.5	146.3
FCF margin (flat)	4.5%	6.6%	8.0%
Terminal growth	0%	0%	1%
Target per share	**$207.88**	**$327.61**	**$467.13**

WACC 9.03% live (spot 10Y ~5.2% + 0.56 beta x implied ERP + 2.0% refining sector risk premium). Gordon terminal. Net debt $2.0B; 287.9M shares.

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Bull case: $467.13 SUPER-CYCLE EXTENDS

Global underinvestment sustains the refining super-cycle, diesel shortages persist, and SAF adoption accelerates beyond mandates. Revenue grows at 2% with 8% FCF margins on the renewables mix shift. Worth $467.13, 2% above spot.

Bear case: $207.88 CRACK COLLAPSE

New refining capacity comes online, crushing crack spreads, while renewable mandates face political headwinds. Revenue contracts at 2% annually, FCF margins regress to 4.5%. Worth $207.88, 55% below spot.

Verdict

We rate VLO Hold — Valuation Concerns. Valero is the best operator in refining: Q2 net income of $3.7B, a $7.9B cash fortress, a 59% payout ratio, and North America's largest renewable diesel franchise. Refining fundamentals are stable and cash generation is strong; nothing about the operating story has deteriorated. The concern is purely valuation: at $457.24 the stock trades 28% above our $327.61 base case, with only 2% upside to our $467.13 bull case against 55% downside to our $207.88 bear case. We reserve Sell for names where overvaluation meets business deterioration; Valero is the opposite, a best-in-class operator whose super-cycle is simply fully priced. We would revisit below $350.

What would change our mind

- **Price:** a pullback below $350 would make the base case compelling.
- **Crack spreads:** sustained elevation above $30/bbl would support the bull trajectory.
- **SAF scaling:** Port Arthur volumes exceeding plan would lift the renewables margin story.

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Key themes

1. Complexity is the moat STABLE

Gulf Coast and Midcontinent refineries process discounted heavy sour crudes into premium light products. This complexity advantage persists regardless of the crude slate.

2. Renewables de-risk the cycle ACCELERATING

Diamond Green Diesel is North America's largest renewable diesel producer ($717M Q2 operating income). Port Arthur SAF is one of few global neat-SAF facilities, with contracted volumes into the 2030s.

3. Structural capacity shortage supports cracks STABLE

Post-pandemic rationalization and geopolitical friction have left global complex refining capacity structurally short, supporting above-mid-cycle margins.

4. Capital returns are best-in-class ACCELERATING

$2.6B returned in Q2 2026 (59% payout ratio), $4.80 annualized dividend (1.1% yield). The fortress balance sheet funds both returns and growth.

Other KPIs

METRIC	VALUE
Market cap (at $457.24)	~$132B
Enterprise value	~$134B
Q2 2026 revenue / YoY	$44.5B / +49%
Q2 EPS / beat	$12.54 / +$2.43
DGD operating income (Q2)	$717M
Cash	$7.9B

Guidance

Q3 2026 results are due October 22. Consensus expects $15.00 EPS. Watch Gulf Coast crack spreads, DGD volumes (3.8M gal/day), and SAF shipment momentum to Europe.

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Reverse DCF: what the market is pricing in

At $457.24, VLO carries a ~$132B market cap and a ~$134B enterprise value. Holding our 6.6% base-case FCF margin flat and discounting at the 9.03% live WACC, the market-implied five-year revenue CAGR is roughly **1.8%**, between our base case (-0.3%) and bull case (2%).

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~1.8%	$457.24 (spot)
Bull case	2%	**$467.13**
Base case	-0.3%	**$327.61**
Bear case	-2%	**$207.88**

The market is pricing in a constructive but not euphoric outcome, which matches the structural capacity story. The valuation is fair; the opportunity is in timing the cycle. Note the skew: only 2% upside to the bull case against 55% downside to the bear case, which is why patience beats chasing here.

Model

Full three-scenario 5-year DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/111qTc42O9uPM9kGbfyDEco_81fMTgNFP1rqBKGfzGil/edit?usp=drivesdk

Risks to our Hold

- **Recession-driven demand destruction would crush crack spreads toward the bear case.**
- **EV adoption accelerating beyond forecasts would structurally impair gasoline demand.**
- **Geopolitical supply disruptions could spike cracks and validate the bull case.**

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